



FIXED INCOME INVESTMENT BRIEF

US Treasury Portfolio Strategy
& Immunisation Analysis

\$50M
USD Pool

CLIENT BRIEF & INVESTMENT RATIONALE

The Client

- Risk-averse family with US & Irish business interests
- Two currency pools: \$50M (USD) and €43M (EUR)
- Sovereign-only investment mandate
- 1-year review horizon; \$8M needed in 2 years

Why USD Treasuries?

- Higher yields (1.98%–3.83%) vs Irish sovereigns
- Natural currency fit - no FX hedging needed
- Deepest, most liquid sovereign market globally

\$50M

USD Pool

4.19 yrs

Duration

2.248%

Wtd. YTM

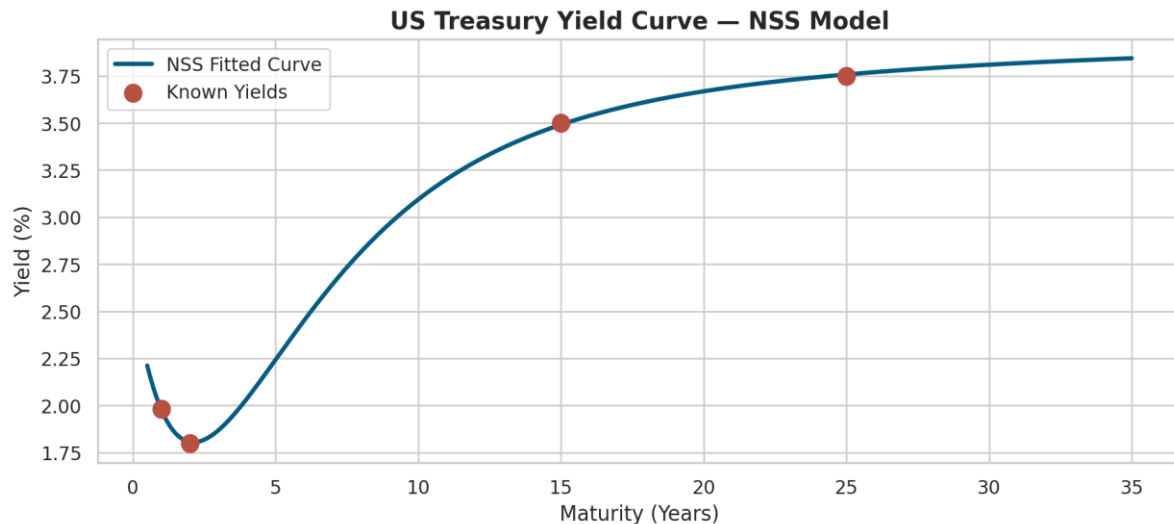
\$8M

2yr Liability

Macro Context

- Fed in cautious easing; SOFR at ~3.79%
- Core inflation above 2% target; tariff risk
- Global shift from tightening to easing

US TREASURY YIELD CURVE — NSS MODEL



Maturity	1yr	2yr	5yr	10yr	30yr
Yield	1.98%	1.80%	2.24%	3.11%	3.80%

NSS Parameters

- $\beta_0 = 3.97\%$ (long-run level)
- $\beta_1 = -1.34\%$ (slope)
- $\beta_2 = -6.17\%$ (1st curvature)
- $\beta_3 = +1.96\%$ (2nd curvature)
- $\lambda_1 = 2.00$ yrs
- $\lambda_2 = 5.00$ yrs

Curve Shape

- Short-end inversion (1yr > 2yr) - rate-cut expectations
- +125 bps steepening from 3yr to 10yr
- Flat beyond 20yrs - pension demand

SCENARIO ANALYSIS & PRICE SENSITIVITY

Scenario	Trigger	Portfolio Impact
+100 bps	Tariff inflation; Fed tightens	≈ -4.0% loss
-100 bps	Recession; aggressive easing	≈ +4.5% gain
Bear Steepener	Fiscal uncertainty	70% short-end insulates

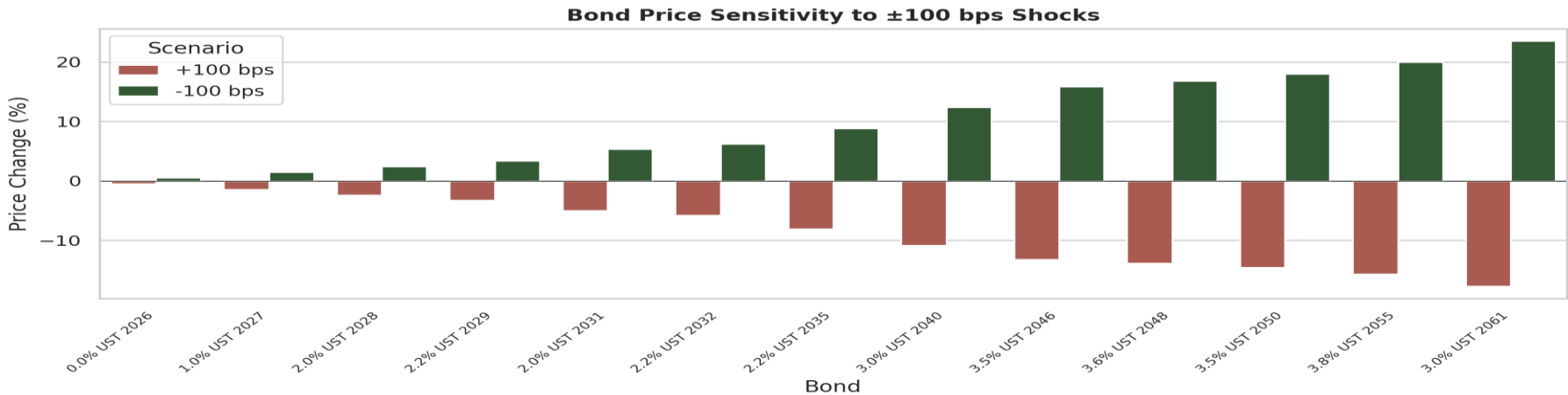
Convexity Advantage

Gains from falling rates exceed losses from rising rates at the same magnitude

Example: 3% UST 2061

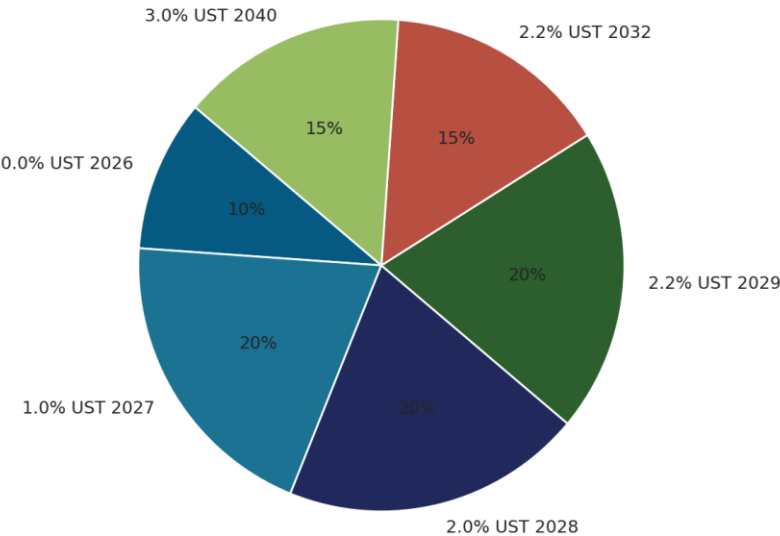
+23.6% gain (-100 bps) vs -17.7% loss (+100 bps)

= 5.9 percentage point asymmetry



PORTFOLIO RECOMMENDATION — \$50M USD POOL

Portfolio Allocation by Weight



Bond	Weight	Amount (\$M)
0% UST 2026	10%	\$5.0
1% UST 2027	20%	\$10.0
2% UST 2028	20%	\$10.0
2.2% UST 2029	20%	\$10.0
2.2% UST 2032	15%	\$7.5
3% UST 2040	15%	\$7.5

Portfolio Duration: 4.19 years **Weighted YTM:** 2.248%
Strategy: Laddered - staggered maturities for reinvestment flexibility
Carry: +26.8 bps over 1-year NSS yield | 100% sovereign, zero credit risk

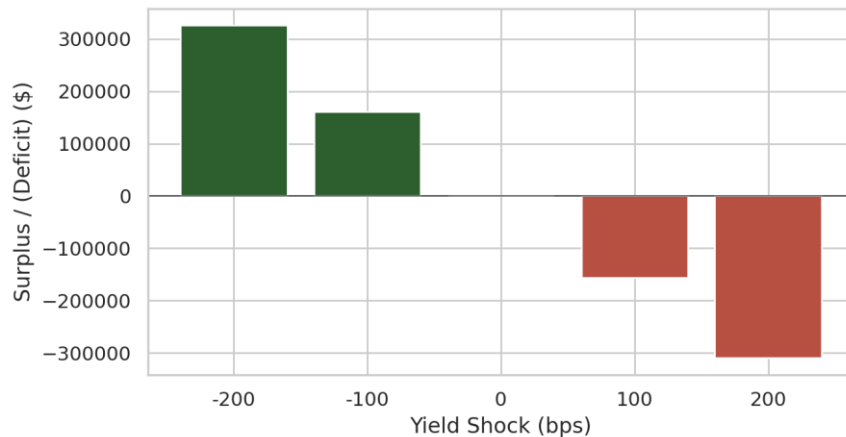


IMMUNISATION & RISK MANAGEMENT

\$8M Liability — Duration Matching

- Target duration: 2.000 years
- Bond A: 1.0% UST 2027 (D = 1.49 yrs) - 47.06%
- Bond B: 2.0% UST 2028 (D = 2.45 yrs) - 52.94%
- Current cost: \$7,719,618

Immunisation Stress Test



Portfolio Strengths

- Positive carry without excessive duration
- Liquidity at 1-year review (UST 2026)
- Loss capped at ~4% under +100 bps
- ~4.5% upside if -100 bps easing

Key Risks

- Tariff-driven inflation → extended Fed tightening
- Bear steepener straining long-end prices
- Convexity mismatch in immunisation at ± 200 bps
- **Mitigant: 70% short-end weighting + rebalancing**

THANK YOU

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